

**In the Common Pleas Court
of
Knox County, Ohio**

FILED
KNOX COUNTY
COURT OF COMMON PLEAS
2024 APR 19 AM 9:50
CHRISTY HILLIGAN STATION
CLERK OF COURTS

**State of Ohio, ex rel,
Dave Yost, Attorney General
Plaintiff,**

Case No. 20IN06-0149

vs.

**Judge James L. Kimbler,
By Assignment #22JA2185**

**The Landings Property
Owners Association, Inc, et al,
Defendants**

Journal Entry

**Mullins Bros., LTD
Third Party Plaintiff**

vs

**Carol A. Didinger, Trustee, et al
Third Party Defendants**

On February 23, 2024, this Court issued a journal entry ordering the parties who had filed motions for summary judgment to address five questions that the Court believed had to be addressed before this Court could issue a ruling on the motions for summary judgment. The parties have complied with the Court's request.

In reviewing the memorandum filed by certain individual defendants who are identified as the “Long Defendants”, the Court notes that in addition to the answer to the five questions that the Court posed to the parties in its entry of February 23, 2024, there was another issue raised in the memorandum filed by the Long Defendants.

That issue is found on page 17 of that Memorandum. On that page, the following question is posed by the drafters of the Memorandum.

Can the court set aside the deed from Mullins to The Landings Property Owners Association, Inc. because Mullins failed to properly set up this corporation?

This Court had initially thought that there would be reply memorandums filed to the memorandum filed by the Long Defendants which would address this issue. This Court would note, however, that it did not order either Mullin Brothers or any other party, including the State of Ohio, to file reply memorandums to any memorandums that were filed pursuant to this Court’s order of February 23, 2024.

Essentially the argument being made by the Long Defendants when they posed the question quoted above is that because certain sections of the Ohio Revised Code that apply to non-profit corporations were not complied with, the transfer to The Landings Property Owners Association, Inc., by Mullin Brothers was not valid, and, in essence, Mullins Brothers is still the owner of the parcels on which the lake and its dam are located.

The Court would note that while there are many references to evidential material of the kind listed in Civ. R. 56 regarding the actions that either were or were not taken by Mullin Brothers and Steve Mullins in setting up The Landings Property Owners Association, Inc., there is no reference to either case law or

statutory law that would guide this Court in the resolution of the issue raised in the memorandum filed by the Long Defendants.

This Court believes that essentially the Long Defendants have raised a new issue regarding both the action for a declaratory judgment that was filed by the State of Ohio and regarding the motions for summary judgment that have been filed by the parties. This Court also believes that this issue had not been raised prior to the issue being set forth by the Long Defendants in their memorandum responding to the Court's order of February 23, 2024.

This issue is important because Ohio law seems to establish that a non-profit corporation can continue to both defend and maintain lawsuits after its articles of incorporation have been canceled. Ohio law also seems to establish the cancellation of the articles of incorporation of a non-profit corporation does not divest the non-profit corporation of title to the land or of its ownership interest in the land until the real estate is disposed of during the period that the non-profit corporation is winding up its affairs.

This was explained by the Court of Appeals for the Seventh District, in a case arising out of Belmont County in 2022. In *Hamm, et al., v. The Lorain Coal & Dock Company*, 2022-Ohio-1048, the following appears at ¶39:

"A corporation in Ohio continues to exist after a certificate of dissolution has been filed and continues to exist until it has been completely liquidated." *Commonwealth Tel. Co. v. Bowers*, 174 Ohio St. 141, 143, 187 N.E.2d 30 (1962). Even years after the articles of incorporation have been cancelled, a corporation can still inherit property. *N. Kenova Dev. Co. v. Wilson*, 4th Dist. Lawrence No. 08CA6, 2008-Ohio-6269, ¶ 21, citing *McFeely v. Gervin*, 5th Dist. Stark No. CA-8382, 1991 WL 200303 (Sept. 23, 1991). The corporation can exist as a de jure corporation for the purpose of winding up corporate affairs. *Id.* A defunct corporation continues on for the purpose of winding up its affairs and

consequently can sue or be sued. *Land O'Lakes, Inc. v. Nationwide Tanks, Inc.*, 12th Dist. Butler No. CA2005-11-486, 2006-Ohio-4327, ¶ 40. "Any claim existing (not yet sued upon) or action or proceeding (already commenced) pending by or against the (dissolved) corporation or (any claim not yet sued upon or action or proceeding) which would have accrued against it (had dissolution not occurred) may be prosecuted to judgment, with right of appeal as in other cases * * *." *Id.* at ¶ 39, quoting *Chadwick v. Air Reduction Co.* (N.D. Ohio 1965), 239 F.Supp. 247, 251.

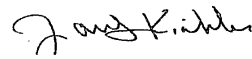
Although the decisions cited by the Seventh District Court of Appeals are not cases involving non-profit corporations, this Court believes that the same analysis would apply equally to a non-profit corporation as well as a for profit corporation. This Court would also note that while the decisions cited above are not decisions from the Ohio Court of Appeals that has jurisdiction over Knox County, this Court does find the analysis persuasive.

As mentioned above, this Court believes that the memorandum of the Long Defendants that was submitted on March 26, 2024, basically amounts to the bringing of a new argument regarding in support of their motion for summary judgment pursuant to Civ. R. 56. This argument also affects the action for a declaratory judgment that was brought by the State of Ohio. Essentially the Long Defendants are arguing that this Court should set aside the transfer of real estate from Mullins Brothers to The Landings Property Owners Association, Inc., and declare that Mullins Brothers is still the owner of the parcels on which the dam and lake are located.

Since this Court is treating the argument being raised by the Long Defendants as another argument in support of their motion for summary judgment, this Court has determined that opposing parties shall have 28 days from the date that this journal entry is put on the journal of the Knox County Court of Common

Pleas to file memorandums opposing the argument being made by the Long Defendants. The Long Defendants shall then have seven days to respond to the reply memorandums submitted by opposing parties. These are the time periods mandated by Civ. R. 6 (C).

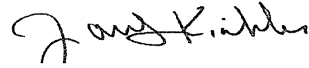
So Ordered.



Judge James L. Kimbler

Directions to the Knox County Clerk of Courts

Pursuant to Civ. R. 58, the Clerk of Courts for Knox County is hereby directed to serve upon all parties not in default for failure to appear notice of this judgment and its date of entry on the Court's journal.



Judge James L. Kimbler

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